

d.

What is the weighted average cost of capital (WACC) of short-term borrowings and their repayment terms?

This means we need to know the WACC of short-term borrowings, i.e., the cost of the borrowings, the interest rate, and the payment terms of these borrowings. Short-term borrowings are repaid within the year.

The company must include these answers in the notes to accounts to its Balance Sheet.

Many companies use commercial papers for short-term borrowings and keep refinancing them.

Just before the expiry of the loan, another loan is taken to repay the first loan. This then turns into a cycle that keeps continuing. The ability of the company to keep re-financing these papers must be understood. In case the company is not able to re-finance, they might face a risk of default.



In Pidilite industries, the short-term borrowings are not huge, and thus, it does not affect major calculations.

Notes to Accounts

Secured

- 1) i) Secured working capital demand loan for domestic subsidiaries carries interest rate of 8.0% p.a. (8.5% p.a. as at 31st March 2020) and for international subsidiaries at 5.48% to 9.92%, (11.50% - 12.43%, LIBOR + 2.7% p.a. as at 31st March 2020). The group working capital demand loan is secured by receivables, inventories, outstanding monies and other assets.
- ii) Secured bank overdraft for domestic subsidiaries carries interest rate of 8.20% p.a. (8.9% p.a. as at 31st March 2020) and for international subsidiaries at T- Bill rate + 1.5% (AWPLR + 0.35% p.a. as at 31st March 2020). It is secured by way of charge to receivables and inventory.
- 2) Secured amount due on factoring for domestic subsidiaries carries interest rate (including factoring cost) of 13.00% p.a. (11.00% to 11.75% p.a. as at 31st March 2020). It is secured by a charge against certain trade receivables.

Unsecured

- 1) i) Unsecured working capital demand loan carries interest rate of 4.5% p.a. and for international subsidiaries at 3.3% (9.50% p.a. as at 31st March 2020).
- ii) Unsecured bank overdraft for international subsidiaries carries interest rate of EIBOR + 1.5% p.a. and AWPLR + 0.35% p.a. (EIBOR + 1.55% p.a. as at 31st March 2020).

As seen, the secured long term liabilities are borrowed at 8.2% p.a. whereas the unsecured short term liabilities are borrowed at 4.5%. These can be seen in the notes on the Balance Sheet.